

3 April 2018

Dear Partners,

As always, the start of a new financial year is a good time for reflection on the road travelled and how we navigate the road ahead.

This letter outlines

- Our historical performance
- Summary of our investment approach
- Mistakes made and learnings
- Our suggestions on Incremental Capital allocation
- How we are positioning ourselves – choices underlying current portfolio construction and themes we are cautious about

Performance

Performance should be measured across 3-5 year time frames. Our yearly performance since 1 May 2014 is enclosed. Please note that performance in your account across these time periods may vary as we run customized portfolios not a model portfolio.

For Anchor Partner				Since PMS License (Aggregate across all accounts)			
DATE	NIFTY	NIFTY 500	SOLIDARITY	DATE	NIFTY	NIFTY 500	SOLIDARITY
FY 15 (11 Months)	24.6%	30.1%	67.2%				
FY 16	-7.5%	-5.9%	-0.1%				
FY 17	18.9%	24.0%	22.4%	FY 17 (part year)	19.2%	24.3%	20.5%
FY 18	10.2%	11.5%	18.6%	FY 18	10.2%	11.5%	19.2%
Cumulative XIRR	11.1%	14.4%	25.4%	Cumulative XIRR	14.4%	17.3%	19.8%
Performance data is IRR post fees							
Note: We operated with an Investment Advisor license till 16 May 2016 wherein we migrated to a PMS License							

Our investment approach

Partners are aware that our underlying intent is to aim to deliver returns which are ~ 5% above nominal GDP growth measured over 3-5 years. Under the assumption of ~ 12-13% nominal GDP growth, that translates into targeted compounded returns of ~ 16-18% post fees over 3-5 year time frames.

Hence any investment position we buy into needs to justify a minimum threshold 18% IRR, delivered over 3-5 years, with high probability. This needs to be achieved through a combination of Earnings growth, Change in Valuation Multiples and Dividend yield.

Stock prices are slaves to earnings. Hence, we seek to invest in businesses that can compound earnings over multiple years. We look for companies that will

- a) Benefit from structural trends that provide tail winds for growth
- b) Favourable industry structure that supports healthy profitability
- c) Have some uniqueness or dominance about them (a “right to win”)
- d) Which are run by management teams with integrity and discipline
- e) These should be available at a fair price relative to the quality of their earnings, cash flow and robustness of business model.

We manage risk principally by investing in what we can understand and by using a position sizing framework to allocate capital based on the maturity profile of the business and risk reward trade-offs at prevailing entry prices.

Within the above “Quality” construct, we buy businesses across a spectrum of maturity (risk profiles). These are categorized under “Clear Leaders” (Large Caps with moats and stable business models) or “Emerging Leaders” (Mid and small caps with moats and significant promise). These buckets always have the greatest share and first priority in Capital allocation.

When valuations are strongly in favour, we also seek “Transformations” and “Tactical plays”. Clear categorization helps maintaining discipline. “Tactical plays” are bought only when one does not have opportunities to allocate capital in quality themes. A “Clear/Emerging Leader” is held over long periods of time to allow it to compound, while a “Tactical play” needs to be exited when returns goals are met.

Learnings and introspection

The following worked well last year:

- Our position sizing framework. Our largest positions did very well while the ones that underperformed had low position weights
- We let our Clear/Emerging Leaders compound
- We participated “Tactically” in select companies which did not have strong moats but traded at discount to our perception of fair value. We harvested these gains when prices reached fair value.

The two positions that continued to not work well were Dynamatic Technologies and Lupin.

Dynamatic is paying the price of an acquisition funded by debt that has not worked well. We have revisited our thesis on Dynamatic and continue to believe we have invested in the right opportunity. Where we have gone wrong is the timing of entry. *We should have waited for clear triggers on debt reduction before entry. The valuation we paid did not compensate for the uncertainty.* The company has recently announced plans for sale of non-core Assets and demerger of its poorly performing Automotive division which we believe will result in more focused core business with attractive ROCE and growth prospects and an almost debt free core operation over the next 3 years. At present valuations, we believe Dynamatic’s Aerospace business accounts for the complete Enterprise Value of the business with others businesses available for free.

Lupin continues to be impacted by issues confronting the Pharma Generics industry - FDA regulatory issues have resulted in delays to product launches, and rise in competitive intensity continue to impact margins in the US business. *The industry dynamics changed quickly and we were wrong in our analysis that Lupin would not be hit as badly as others. A 30% price correction from the top suggested a good entry point. Promoter stock purchases (~330 Cr between Apr 2016 and Jan 2018) signalled faith in the franchise and that the worst was behind. However, FDA issues further escalated to new plants which further soured sentiment.*

We are comfortable with the notion that we will miss promising opportunities. With the benefit of hindsight, we should have built a small position in D’Mart post its IPO. For the large growth opportunity, low margin moat and disciplined execution (in an industry where so many peers have gone wrong), 45X PE was not an outrageous multiple to pay if one has a long term perspective.

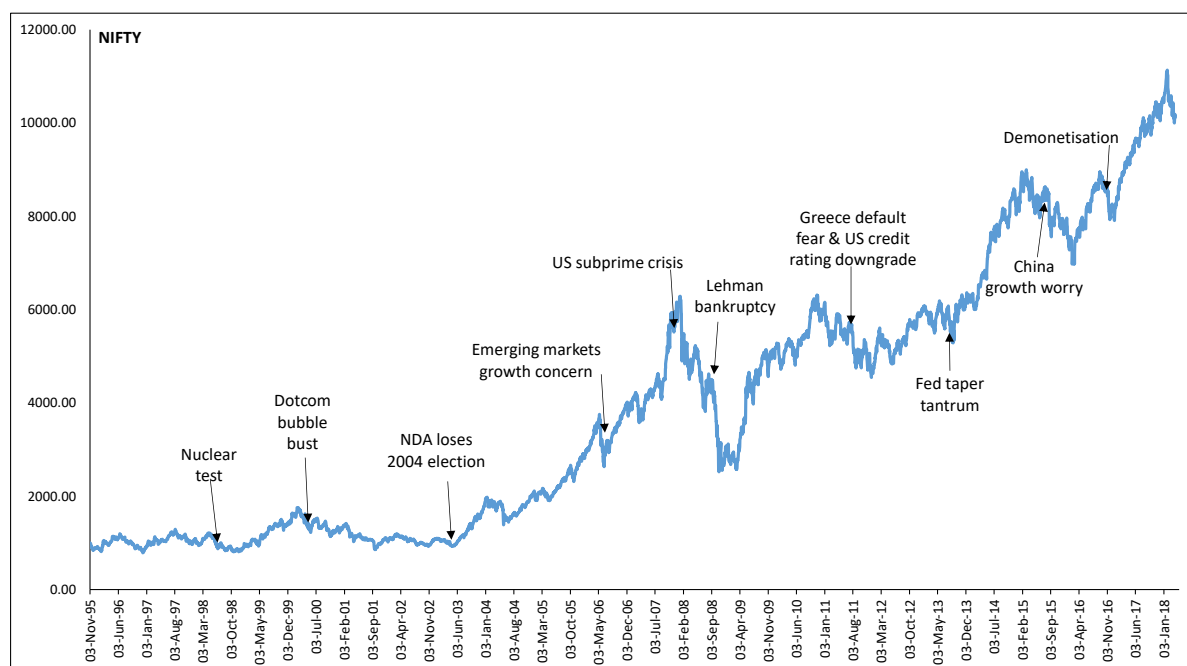
Most of all, the past four years have given us a better understanding of our own self and the approach that works best for us.

Capital allocation for the road ahead

The starting point should always be Asset Allocation.

Prima facie, with valuations beyond comfort zone, rising Oil prices and interest rates, and protectionist political rhetoric, the prevailing macro makes it hard to make a bullish case for equities. We have been at these cross roads before. There is always a new macro risk to worry and its unforeseen risks that trip markets. One should focus on what one can control and when the macro looks adverse, one should be more careful of valuation multiples one is willing to pay.

India's prospects for economic growth will determine growth opportunity for companies. Looked at any point in time, India always seems chaotic. But when looked at every couple of years, it shows remarkable progress, irrespective of political formation, or prevailing global macro or geopolitical risks at that time. Equity markets reflect this progress. The chart below may be useful as a reference point.



There are risks to the Indian story. We worry about large scale social unrest due to lack of jobs and rising inequality. We are making progress but 7% economic growth is not good enough for creating enough jobs.

Legislation passed over the past few years like GST, RERA, Aadhar, and Bankruptcy Code will provide impetus for higher and more inclusive growth. All considered, we believe 12-13% nominal GDP growth with potential upsides is not an unrealistic expectation for the coming decade which provides significant growth opportunity for Indian companies and hence Indian Equities.

The structural case for remaining invested in Indian equities is strong and should have the lion's share of Asset Allocation for someone with a 3+ year perspective and ability to tolerate markdowns. I reiterate that long time horizons is key.

However, one needs to be a bit more discerning on Incremental Capital Allocation at present. A large part of returns over the last few years have been driven by valuation multiple expansion which in a majority of cases is above fair value (in the kind of companies we would like to own). Most market participants, including us, have borrowed some returns from the future.

Electoral uncertainty and rising interest rates will act as a head wind on valuation multiples. We expect returns to be muted in the short term as tail winds of EPS growth will confront head wind of multiple decline. Moreover, we expect portfolio volatility to be high. We counsel keeping some cash in liquid funds and either waiting for more favourable entry points or Investing systematically.

Logic underling portfolio choices

Our starting point is always a large, growing market opportunity supported by structural and secular tail winds and favourable industry structure.

A few trends underlying our choices are:

- Private Banks will gain significant market share from PSU Banks. Further, enforcement of the new Bankruptcy code should mean a fundamental improvement in borrower behaviour which should result in lower NPAs in the next down cycle.
- Greater share of savings will be allocated to financial assets as investments in real estate cease to be a one way bet (RERA will result in structurally lower prices of land for next few years) and Govt. increases compliance requirements on investments in Gold.
- China's pollution crack down and geopolitical tensions between China and US/Japan offers a significant market share gain opportunity in many industries as buyers look to secure/de-risk supply chains and cost differentials with China narrow.
- Many global MNCs with interests in India as a market are realigning global sourcing with future hubs of demand. This coupled with "Make in India" initiatives means demand for products that require high precision, Engineering Skill will increase.
- Opportunities arising from Global Govt/NGOs attempt to reduce poverty – After Rinder-pest and Small Pox, FAO is attempting to eradicate PPR, a highly infectious disease which destroys almost the entire flock of sheep/goat with devastating consequences for farmer incomes. Indian Govt. is also giving impetus to its Animal vaccination programs.
- Discretionary consumption is an evergreen theme in India benefitting from rising aspirations and changing attitudes. Some categories will grow faster than others as they gain wallet share. We believe Personal Comfort, Air travel, Liquor, Adornment will be among the categories that will be the biggest beneficiaries.
- Regulatory changes are resulting in significant market share gains for organized players across select sectors as weaker hands exit the business. Strong players in Jewellery and Batteries will witness significant gains.
- Data consumption will grow rapidly as smart phones become the centre of one's universe.

There are many themes which we are cautious about

- Rising protectionism has obvious implications for exporters whose sold advantage was cost arbitrage or export subsidies or tariff protection.
- GST has not had the desired impact of tax compliance in select sectors eg Tiles.
- Profit margins in businesses which deal in "essential" goods/services will attract increased scrutiny/legislation – for example, the Govt. is making a concerted effort to increase prescription of Generics vs branded drugs. A PIL was recently entertained in Mumbai High Court against cinema halls preventing people from carrying outside food into the theatre (Food and Beverage sales account for a large share of multiplex profits).
- Technological advances could cause disruption in many industries in ways we may not understand at present eg Diagnostics
- Abundant, cheap broad band, backed by seemingly limitless cash burn will challenge existing economics of business models in many industries. How will OTT plays such as Netflix impact demand for other traditional entertainment avenues? Will ability to stream music on line or watch You-tube videos affect consumer choice of Radio as a background listening medium?

- Should we stay invested in companies where CEOs take public positions on political issues and are attempting to become crusaders?

Our goal is to own 10-15 positions. When the outlook is murky, and valuations don't reflect the uncertainty, we think it is best to allocate capital in more promising opportunities.

The biggest challenge at present is to find high growth and well run companies having earnings visibility at fair valuations. Partners should note that we are invested in select companies that are trading at high PE ratios. These franchises have the tail wind and dominance, backed by a Capital light business model which give them the ability to grow at 20%+ for over a decade with significant cash generation. One must have very longer time horizons when investing in these franchises and size the position appropriately.

However, more often than not, high PE ratios reflect narrative froth. Consider NBFCs. The impossible trinity in a lending business is high growth, high margins and low NPAs. New entrants can very quickly commoditize margins. However many NBFCs today are priced at multiples which assume historical earnings growth rates for extended periods of time even at much higher AUMs despite rising competition.

Lack of attractive investment opportunities in Clear/Emerging leaders means

- We have been cautious in drawing down additional capital for quite some time now and our cautious stance continues. Sitting on lots of un-invested cash is not fair to partners who are on a fixed fee model.
- We will allocate capital to "Tactical plays" and "Transformation stories" when we see value

The key questions when evaluating "transformation" stories is gauging direction of travel (is the quality of the franchise evolving in the right direction) and whether the valuation is compensating for uncertainty. Time horizons become even more critical.

Consider ICICI Bank. Like most Banks with Corporate Loans exposure at present, is out of favour due to uncertainty on its NPAs. Sentiment has turned even more adverse due to allegations of conflict of interest against its CEO. The letter alleging malpractices by the CEO first surfaced in 2016. We were aware of these allegations before we made the investment - the franchise value of any institution is not dependent on an individual.

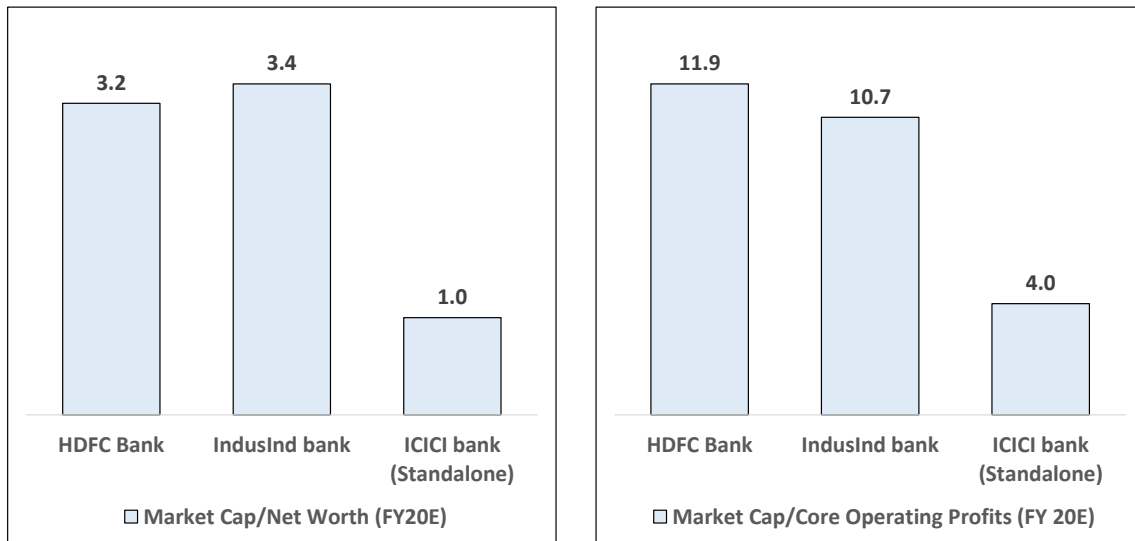
The principal argument we hear against owning ICICI Bank has been that its operating culture is flawed and will not change. While mistakes have been made (which other private banks in India have dodged), we believe these arguments are ignoring data on progress over last few years

- The composition of its loan book is migrating away from riskier Loans to highly rated Corporates and granular retail loans. The International book has shrunk significantly
- There have been detailed disclosures on troubled loans, incremental slippages have not had surprises, and the divergence of its reported bad loans vs RBI is negligible compared to peers

Moreover, while focus is on problem areas, the strengths of its franchise are being ignored. While it is a "Transformation" story in Corporate Lending, a large part of its franchise exhibits traits of "Clear Leaders"

- A large share of the valuation of Indian banks is attributable to their deposit franchise rather than their lending operations. ICICI Bank has a leadership position in low cost deposits and in its subsidiaries (Life Insurance, Asset Management, General Insurance, Broking).
- It is well capitalized and will not have to raise Capital despite aggressive provisioning assumptions

Most importantly, in a very over valued market, the uncertainty on NPAs is being compensated by very attractive entry valuation multiples



Source: Kotak Institutional Equities Estimates; Solidarity Analysis; Market Cap as of 3 April 2018. Core Operating Profits is PBT plus Provisions

We could of course be wrong if past mistakes are repeated. However, our base case is that ICICI Bank will deliver normalized profits in FY 21 by when all provisioning will be completed. Valuation multiples should also expand by then as ROEs increase to ~ 14% and credibility is re-established. If the above thesis plays out, and one is willing to keep a 3-5 year perspective, the upside could be significant with not much downside risk.

Given recent developments, what we perceive as “value” can become even “deeper value” when sentiment is adverse. Hence, one should keep some buffers to build positions over time.

Firm developments

I am delighted to share that we have some well-deserved promotions. Manjeet Buaria is now Principal. He is exceptionally precocious, is unafraid to speak his mind and has an exceptional work ethic and passion for value based long term investing. Naarah Pereira now runs Operations. She epitomizes the oft stated wisdom of “hire for attitude and train for skills”. I look forward to both of them having very long and rewarding careers at Solidarity.

Concluding remarks

Our edge will be in our ability to take a long term perspective - we cannot act long term if our partners don't think long term. I am grateful for your belief in us.

I will appreciate the chance to have a conversation to hear your perspective on areas of disagreement, ideas that seem intriguing to you that we should examine, or if you would look at any issue from a different lens. I would also be keen to learn about any best practices you have observed at other Investment firms which we can bring to Solidarity. Tell us what we can do to delight you.

With best wishes,

Manish Gupta
Chief Investment Officer